A STUDY OF PORTFOLIO MANAGEMENT OF INVESTMENTS

How 30 Retail Investors in Ulhasnagar Build Their Portfolios

Ajay Patil · Personal project, May 2024 · Revised October 2026

80%
of respondents currently invest

66.7%
would include mutual funds, the top choice

56.7%
review and rebalance every month

33.3%
expect returns of 50% or more

Summary

This study asks how retail investors choose and manage their investments. It combines a review of portfolio-management principles with a questionnaire answered by 30 people in Ulhasnagar, a business centre in Thane district, Maharashtra.

Key findings

1. **Mutual funds lead, followed by gold and silver.** 66.7% would include mutual funds. Gold and silver (53.3%) and real estate (50%) rank above direct shares (46.7%).
2. **Respondents want return and liquidity together.** 83.3% accept moderate or high risk and 86.7% want easy liquidity, yet half would hold real estate, which is slow to sell.
3. **Return expectations run high.** One in three expects returns of 50% or 100% from their securities.
4. **Long horizons, short-term habits.** Long term is the most common horizon (43.3%), but 56.7% review and rebalance monthly and 36.7% buy or sell monthly.
5. **Commitment is strong.** 86.7% are likely to continue investing in their portfolio.

1 Introduction

Portfolio management is the process of choosing and managing a group of investments, such as shares, bonds, mutual funds, gold and property, so that they earn the best return for the level of risk an investor will accept. The aim is a diversified portfolio that fits the investor's goals, time horizon and risk tolerance. Spreading money across securities and asset classes lowers total risk, because a fall in one holding can be offset by others.

Portfolio managers work through three main decisions:

- **Asset allocation:** how to divide the portfolio across asset classes, given the investor's risk tolerance and objectives.
- **Security selection:** which securities to hold within each asset class.
- **Market timing:** adjusting holdings in response to economic and market developments.

Investors can manage their own portfolios or hire professionals at banks, financial institutions and investment firms. This study focuses on **retail investors**: individuals who invest their own money, usually in smaller amounts than institutions and with fewer resources. Retail investors often rely on their own research, which can leave them more exposed to emotional biases and short-term news. No plan removes risk entirely, so the goal is to manage it.

The study uses **investment** in its financial sense: putting money into assets such as shares, bonds, deposits or property to earn income or capital growth. This differs from economic investment, which means adding to a country's productive capital, such as factories, machinery and workforce skills.

2 Investment avenues in India

Indian investors can choose between financial assets, such as shares, mutual funds and government securities, and real assets, such as gold and property. Each avenue offers a different mix of return, safety and liquidity.

AVENUE	WHAT IT IS
Shares	Ownership stakes in a company, traded on stock exchanges. Prices move with company performance, market conditions and investor sentiment.
Debentures and bonds	Debt issued by companies and governments that pays interest and returns the principal at maturity.
Public deposits	Fixed-term, fixed-rate deposits placed with companies or non-banking financial companies. They are unsecured, so they carry default risk.
Bank deposits	Savings, fixed and recurring deposits. Easy to access, regulated and covered by deposit insurance up to a limit.
Post office savings	Government-backed savings schemes such as savings accounts, recurring deposits and time deposits, widely used in rural areas.
Public Provident Fund (PPF)	A government-backed 15-year savings scheme with tax benefits under Section 80C, a government-set interest rate, and partial withdrawals and loans after set periods.
Money market instruments	Short-term debt maturing within a year, such as treasury bills, commercial paper and certificates of deposit. Low risk and highly liquid.
Mutual funds	Pool money from many investors into shares, bonds and other securities, offering diversification, liquidity and professional management for a fee.
Life insurance schemes	Financial protection for dependants through term or whole-life policies. Some policies build cash value, and premiums can carry tax benefits.
Real estate	Residential, commercial or industrial property. Returns come from rent and price appreciation.
Gold and silver	Precious metals held as a store of value and a hedge against inflation and economic uncertainty, through coins, bars, jewellery or exchange-traded funds.

AVENUE	WHAT IT IS
Derivatives	Contracts such as futures and options whose value comes from an underlying asset, used to hedge risk or to speculate.
Commodities	Raw materials such as metals, crude oil, natural gas, wheat, cotton and sugar, traded on the spot market or for future delivery.

3 Approaches to managing a portfolio

APPROACH	HOW IT WORKS	TRADE-OFF
Active	The manager researches and picks securities, trading often to beat the market.	Aims for above-market returns, at higher cost and risk.
Passive	Holds the securities of a benchmark index, such as the Nifty 50 or the S&P 500.	Low cost and low turnover; returns track the index.
Strategic	Sets a long-term target allocation from the investor's goals and risk tolerance, and rebalances back to it.	Disciplined and stable, but slow to react.
Tactical	Moves away from the target allocation for short periods to take advantage of market opportunities.	Possible extra return, with more volatility.
Dynamic	Adjusts the portfolio frequently, often using quantitative models.	Used by hedge funds and experienced investors; the highest turnover.

Whichever approach is used, portfolio management matters for four reasons:

- **Diversification:** spreading money across assets limits the damage any single holding can do.
- **Risk management:** weighing the risk and return of each asset against the investor's goals and tolerance.
- **Returns:** regular monitoring and adjustment help the portfolio earn more over time.
- **Tax efficiency:** techniques such as tax-loss harvesting and holding assets in the right type of account reduce the tax bill.

4 Research design

Objectives

- Understand how retail investors in Ulhasnagar choose and manage their investments.
- Identify the assets they prefer, their risk appetite, return expectations and investment horizon, and how often they review and trade.
- Compare these habits with standard portfolio-management principles and suggest improvements.

Data

- **Primary data:** a questionnaire answered by 30 people in Ulhasnagar, Thane district, Maharashtra. It had twelve questions covering age, gender, whether they invest, horizon, preferred investments, income received, expected return, risk preference, review frequency, liquidity, trading frequency and whether they plan to continue.
- **Secondary data:** books, websites, newspapers and business magazines.

Analysis

Each question is summarised as the share of all 30 respondents choosing each answer, with the number of respondents in brackets. Ulhasnagar was chosen because it is an active trading and business centre.

5 Review of literature

Four books shaped the study's view of how a portfolio should be built and managed.

***The Intelligent Investor* — Benjamin Graham (1949)**

Graham, a Columbia professor widely seen as the father of value investing, separates defensive from enterprising investors and argues for buying with a margin of safety. Its core lesson for this study is discipline: decisions should rest on value, not on market mood.

***A Random Walk Down Wall Street* — Burton Malkiel (1973)**

Malkiel, an economist at Princeton, argues that short-term price movements are largely unpredictable, so few investors beat the market consistently. He makes the case for low-cost index funds, which underpins the passive approach in Section 3.

***The Four Pillars of Investing* — William Bernstein (2002)**

Bernstein, a neurologist turned financial theorist, builds his guide on four pillars: the theory, history, psychology and business of investing. His emphasis on asset allocation and on investors' own behaviour informs the suggestions in Section 8.

***Investment Valuation* — Aswath Damodaran (1996)**

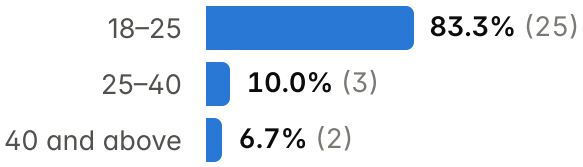
Damodaran, a finance professor at NYU Stern, explains how to value any asset from its expected cash flows, growth and risk. It is the toolkit behind security selection.

6 Survey findings

Who responded

Age of respondents

Share of all 30 respondents



Gender

Share of all 30 respondents

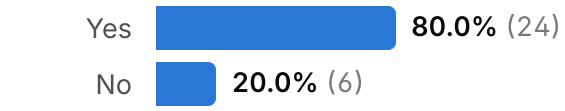


The sample is young: 83.3% of respondents are aged 18–25. The gender split is close to even, at 53.3% male and 46.7% female.

Investing status and horizon

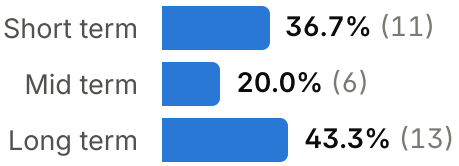
Do you currently invest?

Share of all 30 respondents



Investment horizon

Share of all 30 respondents

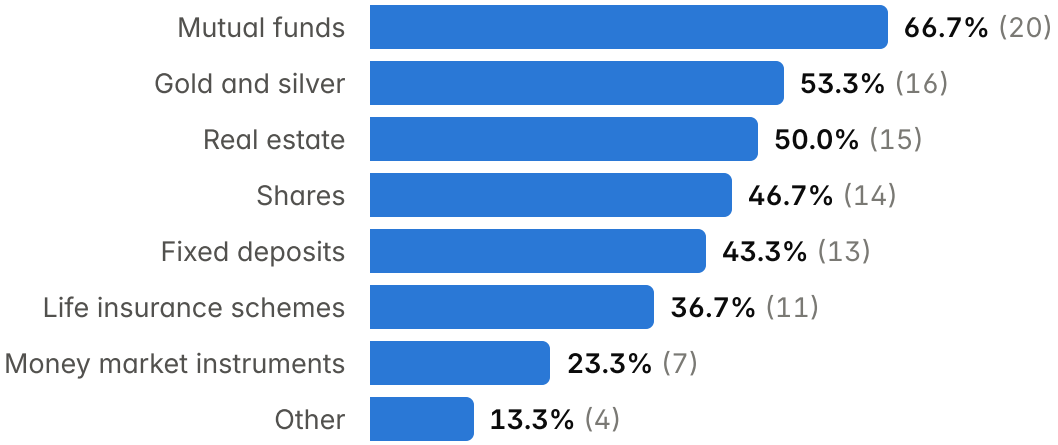


Four in five respondents currently invest. Long term is the most common horizon (43.3%), but short-term investors are close behind (36.7%).

What they would hold

Which investments would you include in your portfolio?

Share of all 30 respondents; more than one answer allowed

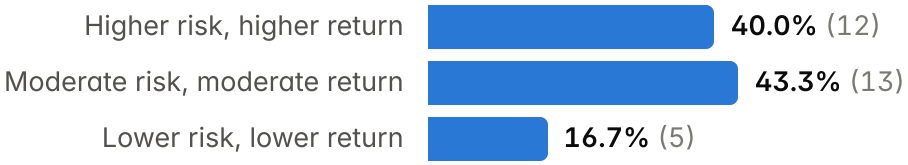


Mutual funds are the clear favourite. Gold and silver come second, ahead of direct shares, and half the respondents would hold real estate. Money market instruments, the most liquid option on the list, are among the least chosen.

Returns and risk

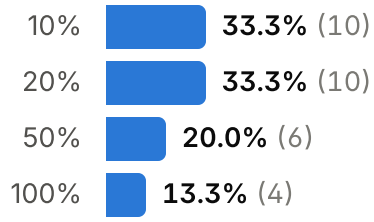
Preferred risk and return

Share of all 30 respondents



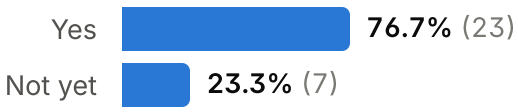
Expected return from your securities

Share of all 30 respondents



Have you received income from your investments?

Share of all 30 respondents



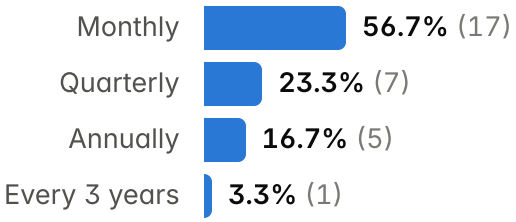
Most respondents accept risk: 43.3% prefer moderate risk and 40% prefer high risk, while only 16.7% prefer low risk. Expectations are ambitious. A third expect 10% and another third 20%, but

20% expect 50% and 13.3% expect 100%. Most respondents (76.7%) have already received income from their investments.

How they manage their portfolios

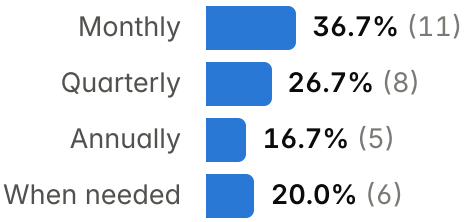
How often do you review and rebalance?

Share of all 30 respondents



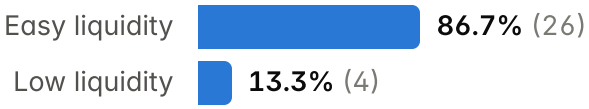
How often do you buy or sell investments?

Share of all 30 respondents



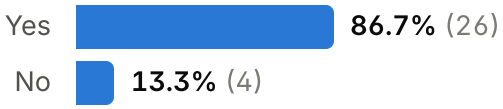
Preferred liquidity of investments

Share of all 30 respondents



Likely to continue investing in your portfolio?

Share of all 30 respondents



Monitoring is frequent. 56.7% review and rebalance every month and 36.7% buy or sell every month. Only 20% trade just when needed. Nearly all respondents (86.7%) want easy liquidity, and the same share plan to continue investing.

7 Discussion

Preferences broadly match good practice. Mutual funds, the top choice, give small investors diversification and professional management in one product. Spreading interest across gold, property, shares and deposits also shows an instinct for diversification.

Liquidity needs and asset choices pull in different directions. Almost every respondent wants easy liquidity, yet half would hold real estate and over a third would hold life insurance schemes, both hard to turn into cash quickly. Investors who want quick access to their money need to keep enough of it in liquid assets.

Return expectations are the biggest gap. A third of respondents expect returns of 50% or more, while most of the same sample prefers moderate or low risk overall. Expectations this high can lead investors to take on more risk than they intend, or to give up when results fall short.

Frequent activity sits awkwardly with long horizons. Monthly review is sensible, but monthly buying and selling adds transaction costs and taxes and invites reactions to short-term news. The

literature in Section 5 consistently favours a set allocation that is rebalanced on a schedule.

Because the survey kept only totals for each question, these patterns describe the sample as a whole. They do not show whether, for example, the same people who want high returns also trade monthly.

8 Conclusions and suggestions

Portfolio management means choosing, monitoring and adjusting a mix of assets to earn the best return for an acceptable level of risk. Its core tools are asset allocation across asset classes, risk management covering market, credit, liquidity and inflation risk, and regular review. The respondents in this study are engaged investors with a sensible preference for mutual funds and diversified holdings, but their return expectations and trading habits leave room for improvement.

Suggestions

1. **Set objectives first.** Define goals, time horizon and risk tolerance, then choose an asset allocation to match.
2. **Keep return expectations realistic.** Base targets on what each asset class has delivered over time, not on recent winners.
3. **Review often, trade less.** Monthly review is fine; rebalance on a fixed schedule or when the allocation drifts, rather than trading monthly.
4. **Match liquidity to needs.** Keep emergency money and near-term needs in liquid assets before committing to property or long lock-in products.
5. **Stay diversified at low cost.** Index funds and ETFs keep costs down, and investing a fixed amount each month through a systematic investment plan (SIP) smooths out market swings.
6. **Consider taxes.** Factor in the tax treatment of each investment, and use tax-advantaged options such as PPF where they fit.
7. **Stay disciplined.** Stick to the plan, take a long-term view and avoid following the crowd or reacting to short-term news.
8. **Seek advice when needed.** A qualified financial adviser can help with complex decisions.

9 Limitations

- **Small sample.** With 30 respondents, each person moves a result by 3.3 percentage points.
- **One city.** All respondents are from Ulhasnagar, so results may not hold elsewhere.

- **Young sample.** 83.3% of respondents are aged 18–25, so the findings mainly describe young investors.
- **Preferences, not holdings.** All 30 respondents answered every question, including the six who do not currently invest. The asset, risk and return questions therefore record preferences rather than actual portfolios.
- **Totals only.** The individual responses are no longer available, so the analysis is descriptive and cannot compare groups, such as younger and older investors.
- **No time period for returns.** Expected returns were recorded without a stated time period.

References

- Bernstein, W. J. (2002). *The Four Pillars of Investing*. McGraw-Hill.
- Damodaran, A. (1996). *Investment Valuation: Tools and Techniques for Determining the Value of Any Asset*. John Wiley & Sons.
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